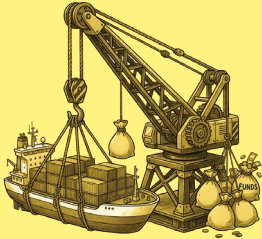
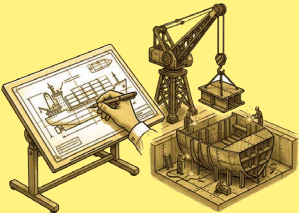


KEY GOVERNMENT INITIATIVES

|                                                                                                                                                |                                                                                                                                                                                   |                                                                                                                     |
|------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|
|                                                               |                                                                                                  |                                   |
| Shipbuilding Financial Assistance Scheme                                                                                                       | Shipbuilding Development Scheme                                                                                                                                                   | Maritime Development Fund                                                                                           |
| CORPUS                                                                                                                                         |                                                                                                                                                                                   |                                                                                                                     |
| ₹ 24,736 CR                                                                                                                                    | ₹ 19,989 CR                                                                                                                                                                       | ₹ 25,000 CR                                                                                                         |
| SUPPORT                                                                                                                                        |                                                                                                                                                                                   |                                                                                                                     |
| 15-25% financial assistance per vessel (depending on category); 40% scrap value reimbursement via credit notes; direct subsidy to Indian yards | Full 100% capital support for greenfield clusters; 25% support for brownfield upgrades                                                                                            | 49% government equity blended finance; attracts private investment; provides interest incentives for ship financing |
| MECHANISM                                                                                                                                      |                                                                                                                                                                                   |                                                                                                                     |
| Stage-wise disbursement linked to milestones; incentives for series orders to encourage scale                                                  | Greenfield shipbuilding clusters (Andhra Pradesh, Gujarat, Tamil Nadu); modernisation of existing yards; establishment of India Ship Technology Centre for R&D, design and skills | Provides long-term financing support for shipbuilding and maritime projects                                         |

SOURCE SHIPPING MINISTRY

building and repair facility, Colombo Dockyard, for \$52.96 million. The yard is close to some of the busiest shipping lanes in the world.

MDL is constructing a large floating dry dock at its Nhava (Nava Sheva) yard near Mumbai. It was cleared in 2025. This floating dock will significantly expand India’s naval and commercial shipbuilding and repair capacity. This will relieve congestion at MDL’s land-based Mumbai dockyards and enable construction and repair of next-generation destroyers, landing helicopter docks, aircraft carriers, and submarines in

synergy with the Colombo Dockyard.

Other companies have also announced plans to set up MRO operations and shipbuilding clusters. “MRO cash flow cycles are fast, unlike shipbuilding, where it takes three-five years depending on the size of the ship. Refits have a much shorter duration. The money is not blocked,” says Rear Admiral Mittal.

India’s shipyards are standing at the crossroads. Government initiatives like Sagarmala Make in India and Shipbuilding Financial Assistance Policy might take them closer to making India a shipping power. **BT**

ILLUSTRATION BY RAJ VERMA